

US water sector will remain vulnerable to cyberattacks

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US water utilities contained the impact of the recent Iranian cyberattacks, but the absence of binding federal cybersecurity standards and lapsing grant programs leave smaller systems structurally exposed to more damaging attacks.

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Washington is unlikely to close that gap: President Donald Trump's administration lacks a confirmed Cybersecurity and Infrastructure Security Agency (CISA) director, and several cybersecurity laws are set to expire.

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New York and New Jersey are leading a state-by-state push to fill the federal cybersecurity void, but inconsistent coverage will leave smaller utilities in less active states exposed.

The July-August 2026 attacks on US water systems were more political signal than serious sabotage. Iranian-linked hackers targeted water and wastewater utilities in at least 100 municipalities. In practice, the hacks caused very minimal supply disruptions and were likely a response to a recent round of US cyberattacks on Iranian infrastructure. They represent the latest episode in two decades of offensive cyber operations by both sides. Iranian actors have been working to penetrate critical infrastructure, including water systems, since the early 2010s, including the 2013 breach of New York's Bowman Avenue Dam, which drew a US indictment in 2016.

Years of resilience buildout have helped to minimize impact of attacks. The procedures that kept systems operating were institutionalized through the America's Water Infrastructure Act of 2018, which mandated risk assessments and emergency response planning. Capital investment, including more than \$200 billion through State Revolving Funds and additional Infrastructure Investment and Jobs Act funding, helped modernize systems. However, distributed critical infrastructure such as water systems (there are roughly 150,000 distinct water networks in the US) often lack adequate resources to fully secure their systems.

Yet cybersecurity regulation has not kept pace with threats. The Environmental Protection Agency (EPA) failed to get its 2023 rule into effect, leaving the country's roughly 150,000 public water systems largely self-regulated on cybersecurity. Moreover, Congress has not reauthorized the State and Local Cybersecurity Grant Program, which expires in September and helps states fund cybersecurity upgrades

for smaller utilities.

Information sharing has been crucial to cybersecurity, but funding is set to lapse. Repeated incidents such as the 2023 Aliquippa attack have strengthened information sharing across the sector, reinforcing the advisory network maintained by the EPA, FBI, CISA, and the Water Information Sharing and Analysis Center. That network depends on the Cybersecurity Information Sharing Act of 2015, a separate authority that has already lapsed twice and will now also expire in September.

Renewed federal funding for water infrastructure cyber defense remains unlikely, keeping the burden on states and municipalities. Over the past year, New York announced new mandatory cybersecurity requirements for water utilities paired with \$9 million in grants. New Jersey has already launched its own water-sector cybersecurity grant program, and other states are likely to follow. But state-by-state coverage will remain inconsistent.

Globally, water infrastructure has become a strategic war target. In its Top Risks 2026 report, Eurasia Group warned that water infrastructure would become a target in times of war. That risk has materialized during the current US-Iran conflict, both in the cyberattacks against US utilities and in military strikes in the Gulf. This experience will drive increased global spending on water security, both physical and cyber. For example, NATO's new 1.5% resilience tier gives European allies a defense budget line for water infrastructure protection.

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